

25PSCV02072 25PSCV02072

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On May 20, 2026, Plaintiffs filed

the instant motion for summary judgment of their Complaint, arguing that there are no triable issues of material fact for the following reasons. It is undisputed that they remain in possession of five original, un-surrendered and non-transferrable Certificates of Deposit (CDs), each of which state that payment is contingent upon "presentation and surrender of this certificate properly endorsed" to Defendant. They contend that since they still retain the CDs, their retention constitutes conclusive evidence that the condition precedent to payment (i.e., the surrender and cancellation of the CDs) was never met and, therefore, Defendant has breached its contractual obligations by failing to pay the deposit.

On July 24, 2026, Defendant filed

its opposition, arguing (among other things) that the absence of business records concerning Plaintiffs' alleged CDs raises a triable issue of material fact regarding its alleged breach of nonpayment of the CDs.

Non-jury trial is set for February

1, 2027.

On August 4, 2026, Plaintiffs filed

their reply, arguing that Defendant's arguments are speculative, conjectural, and not supported by actual knowledge. In addition, Defendant is repeating the same or similar arguments it made in its motion for summary judgment, which the Court denied.

1. Background

Facts

Plaintiffs Jack and Barbara

Greenberg filed their Complaint against Defendant on June 5, 2025, asserting one cause of action for breach of contract. The Complaint alleges that Plaintiffs purchased CDs that Defendant refused to pay when the certificates matured on March 1, 2024. Plaintiffs allege that the principal and interest Defendant owes on the five CDs is \$510,817.09.

2. Motion for Summary Judgment

a.

Burdens on Summary Judgment

Summary judgment is proper “if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.”

(Code Civ. Proc. §437c(c).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

“A plaintiff ... has met that party's burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).) “Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(1).)

Evidentiary Objections

Defendant has filed objections to the declaration of Plaintiff Barbara Greenberg. (Objections filed July 24, 2026, p. i-iii [objecting to Paragraphs 4, 12, and 13 of the declaration].)

Objections to Paragraph 4 of the declaration are OVERRULED.

Objections to Paragraphs 12 and 13 are SUSTAINED as to the plaintiff's testimony regarding her husband (i.e., Plaintiff Jack Greenberg never signed any renewal instructions or renewal documentation, never endorsed any of the CDs for payment, renewal, or transfer, and never received payment) for lack of personal knowledge and foundation. The objections are otherwise OVERRULED.

The Court notes that Plaintiffs did not file evidentiary objections.

Discussion

Because Plaintiffs are moving for summary judgment, they bear the burden of proving each element of their sole cause of action for breach of contract. (Code Civ. Proc., § 437c, subd. (p)(1).) "[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Thrifty Payless, Inc. v. The Americana at Brand, LLC (2013) 218 Cal.App.4th 1230, 1244.)

To prove their breach of contract claim, Plaintiffs present the following evidence and law. In 1986, Plaintiffs "purchased a total of five Certificates of Deposit [hereafter, "Certificates" or "CDs"] from Queen City Bank, each at or exceeding \$100,000 in principal." (Defendant's separate statement in response to Plaintiffs' separate statement of undisputed material facts ("UMF") No. 1.) "The Certificates were issued on March 14, May 15, June 16, July 16, and August 15, 1986." (UMF No. 2.) "Each Certificate contains repayment language requiring presentation and surrender of the original Certificate before payment. Each Certificate also states that it is 'NON-TRANSFERABLE,' 'NON-NEGOTIABLE,' and that there is 'NO INTEREST AFTER MATURITY.'" (UMF No. 3.) "Each CD constitutes a written obligation by Queen City Bank to repay the deposited funds according to the terms stated on the Certificates." (UMF No. 5.) "Plaintiffs retained uninterrupted possession of all five original Certificates from the time they were issued through the present. Although the Certificates were misplaced among long-stored records for many years, they were located in 2024 in the same condition in which they were

original issued.” (UMF No. 6.) Under the California Commercial Code: “An action to enforce the obligation of a party to a certificate of deposit to pay the instrument shall be commenced within six years after demand for payment is made to the maker” (Com. Code, § 3118, subd. (e).) “On March 1, 2024, Plaintiffs made a formal written demand for payment and attempted to present all five original Certificates at First Bank’s Rowland Heights branch, the successor office of issue following First Bank’s merger with Queen City Bank. Plaintiffs had not previously made formal demand for payment on the Certificates.” (UMF No. 8.) Plaintiffs argue that because they filed this lawsuit on June 5, 2025, within six years of making the demand to Defendant on March 1, 2024, their action is timely. Plaintiff Barbara Greenberg testifies that, after the demand, Defendant declined to take custody of the Certificates and refused to accept them for any form of processing, redemption, or payment. (Motion, Greenberg Decl., ¶ 9.) “At no time did the bank assert that the Certificates had ever been surrendered, redeemed, paid, or cancelled, and stated only that it had ‘no records.’ The five Certificates collectively reflect principal deposits totaling \$508,169.57. The Certificates further reflect accrued contractual interest totaling \$2,780.85 through maturity. [Therefore,] [t]he total amount due and owing under the Certificates as of maturity is \$510,950.42 [as alleged in the Complaint], exclusive of any additional prejudgment interest recoverable by law.” (Id. ¶ 9.)

The Court finds that Plaintiffs have met their initial burden of proving each element of their breach of contract claim through the evidence above. Therefore, the burden shifts to Defendant to show that one or more triable issues of material fact exist as to that claim or defense.

In its opposition, Defendant first argues that “recent fabrication can be inferred when it is shown that a witness did not speak about an important matter at a time when it would have been natural for him [or her] to do so.” (People v. Riccardi (2012) 54 Cal.4th 758, 803, citing People v. Manson (1976) 61 Cal.App.3d 102, 143.) Here, Plaintiffs claim that they did not request repayment non-interest bearing deposits totaling over \$500,000 between 1986 and 2024. It would have been natural for a customer of Queen City Bank to request repayment of matured CDs in 1986, even if he or she lost the certificates; and even more so for Plaintiffs, who were shareholders and friends of the bank president. Therefore, based solely on the passage of time, a trier of fact could reasonably infer

that Barbara Greenberg's statement that Plaintiffs never received repayment is a fabrication intended to advance Plaintiffs' interest in this dispute." (Opposition, pp. 6:24-7:7.)

The Court finds Defendant's fabrication argument unpersuasive because "[s]peculation ... is not evidence' that can be utilized in opposing a motion for summary judgment. [Citations.]" (Knapp v. Doherty (2004) 123 Cal.App.4th 76, 99.)

Defendant also argues that Plaintiffs fail to submit competent evidence of breach and Plaintiff Jack Greenberg, who has not submitted any declaration or affidavit in support of this motion, "could have withdrawn the funds or rolled over the CDs without Barbara Greenberg's knowledge or consent." (Opposition, p. 8:25-27.)

The Court also finds the above argument is unpersuasive. Although the Court has sustained Defendant's objections to Barbara Greenberg's testimony regarding her spouse, the Court has still found that Plaintiffs have established breach particularly through the undisputed facts that: (1) Plaintiffs obtained the CDs from First Bank's predecessor Queen City Bank, (2) each CD constitutes a written obligation by Queen City Bank to repay the deposited funds according to the terms stated on the CDs, (3) each CD contains repayment language requiring presentation and surrender of the original CD before payment, (4) each CD states that it is "NON-TRANSFERABLE," (5) Plaintiffs retained uninterrupted possession of all five original CDs from the time they were issued through the present, (6) Plaintiffs made the first demand for payment in March 2024, and (7) Defendant refused to pay. Those undisputed facts have established each element of the breach of contract claim, including breach. Plaintiffs have also established damages through the testimony of Barbara Greenberg that [t]he total amount due and owing under the Certificates as of maturity is \$510,950.42 [as alleged in the Complaint], exclusive of any additional prejudgment interest recoverable by law." (Motion, Greenberg Decl., ¶ 9.)

Notwithstanding the above, the Court finds that Defendant has met its burden through the declaration of expert witness Glen C. Terry ("Terry") and Director of Operations, Mandi Willis ("Willis").

Terry testifies that he is a

Partner and Consulting CFO at an advisory group in California, holds a Master of Business Administration with a concentration in Finance and Management, attended the Pacific Coast School of Banking, and has more than 40 years of experience in the banking industry, including serving as President, Chief Executive Officer, and/or Director at multiple banks. (Terry Decl., ¶¶ 1-3.)

Terry determined from the Federal Deposit Insurance Corporation's website that Queen City Bank (hereafter, "QCB") was established on September 26, 1983, and merged into First Bank & Trust (Santa Ana, California) on April 15, 1996. (Terry Decl., ¶ 9.) At the time of the merger, QCB had total assets of approximately \$50.8 million and total deposits of approximately \$44.27 million. (Ibid.)

Based on his review of the five CDs, Terry opines that the CDs represent a single initial deposit of \$100,000 that was successively rolled over into new short term CDs with accrued interest added to principal at each rollover; the CDs do not represent an aggregate of \$500,000 in deposits. (Terry Decl., ¶ 12.) This is because "each subsequent CD's principal precisely equal[ed] the prior CD's principal plus its accrued interest ... [which] is, in [his] experience, the unmistakable signature of a CD rollover. It is not consistent with five separate, independent deposits. If the Plaintiffs had made five separate deposits, one would expect round-number principal amounts, or amounts unrelated to the compounding of interest from a prior instrument. Instead, the odd-cent principal (\$101,236.66, \$101,791.38, \$101,314.28, and \$102,827.25) can only be explained as the product of successive interest compounding on a single original deposit of \$100,000. [Terry is] aware of no innocent way for five wholly independent deposits to produce principal balances that dovetail to the penny in this manner." (id. ¶ 14.)

Willis in turn attests to the following facts. "As the Director of Operations, [she] manage[s] the bank's daily operations, including the entry of deposits, CDs, withdrawals, checks, automatic clearing house operations, and wire transfers." (Willis Decl., ¶ 3.)

"First Bank's deposits (including certificates of deposit) and withdrawals are recorded on a core data system through a central processing system that tracks transactions in real-time. When a deposit or a withdrawal is made, the core system updates the customer's account balance, posts the transaction to the general ledger, and makes the updated information available across all banking channels, such as the only

system used by bank tellers and ATMs. This system is the foundation for First Bank's internal records, including customer data and balances, and enables the processing of daily banking transactions. It is First Bank's policy and practice to maintain customer account records for seven years." (Willis Decl., ¶ 4.) "First Bank acquired [QCB], National Association, including its customer relationships, in or around April 1996." (Id. ¶ 5.)

"When First Bank acquires another financial institution, the records of deposits and certificates of deposit for the institution that was acquired are merged into First Bank's core data." (Willis Decl.,

¶ 6.) Willis is informed and believes "that the records of [QCB's] deposits were merged into First Bank's core data in or around 1996, because First Bank became liable to [QCB's] customers for the deposits that they made at [QCB] that remained due and owing as of the date of the acquisition, according to records of the Federal Deposit Insurance Corporation." (Id. ¶ 6.)

Willis "conducted searches of First Bank's core data to determine if either Jack Greenberg or Barbara individually, or Jack Greenberg and Barbara Greenberg jointly, have an account at First Bank that is still open or a certificate of deposit that has not been repaid ...," and "determined that no such account is open and no certificate of deposit that has not been repaid by First Bank or [QCB] exists. [She is] familiar with the methods used to search First Bank's core data. If a deposit account or an unpaid certificate of deposit owned by Jack Greenberg and/or Barbara Greenberg existed, it would have been discovered by [her] through the searches that [she] performed." (Willis Decl., ¶ 7.)

The Court finds that through the testimonies of Terry and Willis, Defendant has met its burden of showing that there is a triable issue of material fact regarding the damages element of the breach of contract claim, and whether there was any breach in the first place (i.e., whether Defendant refused to pay Plaintiffs for CDs that were still outstanding). In their reply, Plaintiffs insist that the possession of the CDs is conclusive evidence supporting their breach of contract claim given that it is undisputed that each CD requires presentation and surrender of the original CD before payment. However, in their moving papers, Plaintiffs did not submit evidence showing that (1) Defendant's roll-over theory is impossible, and/or (2) QCB could not have both allowed payment of the CDs while allowing

Plaintiffs to retain possession. The answers to those questions have not been answered. Therefore, the Court is unable to conclude as a matter of law that Plaintiffs' possession of the CDs is conclusive evidence of their claim. Even if there are no answers to those questions, the Court cannot determine through this motion whether Plaintiffs' version of the story is more believable than Defendant's. Credibility determinations are reserved for trial.

For those reasons, the Court denies the motion.

3. Conclusion

Plaintiffs' motion for summary judgment is DENIED.

Plaintiffs are ordered to give notice.